Kestrel Point Industrial Corp.
Consolidated Income Statements

(Amounts in U.S. dollars, except share data)

	Twelve Months Ended Dec. 31,	
	2024	**2023**
Net sales	$ 6,897,397	$ 7,048,030
Cost of revenue	3,383,931	3,320,825
Gross margin	3,513,466	3,727,205
Operating expenses:		
Research and development expense	315,948	326,611
Selling, general and administrative	2,636,665	2,564,840
Litigation settlement	121,890	50,397
Total operating expenses	3,074,503	2,941,848
Operating income	438,963	785,357
Interest expense	53,560	56,791
Interest and dividend income	16,429	12,830
Other, net	(12,126)	1,015
Income before provision for income taxes	389,706	742,411
Income tax expense	84,364	160,719
Net earnings	$ **305,342**	$ **581,692**
Earnings per share:		
Basic	$ 0.57	$ 1.08
Diluted	$ 0.56	$ 1.07
Shares used in computing earnings per share:		
Basic	538,532	540,863
Diluted	543,404	546,008

Kestrel Point Industrial Corp.
Consolidated Statements of Financial Position

(Amounts in U.S. dollars)

	Dec. 31, 2024	Dec. 31, 2023
Assets		
Current assets:		
Cash	$ 1,789,794	$ 1,440,641
Trade receivables, net	1,119,327	1,107,837
Prepaid expenses and other current assets	283,166	250,192
Total current assets	3,192,287	2,798,670
Property, plant and equipment, net of accumulated depreciation	2,860,929	3,004,640
Other assets	220,673	183,422
Total assets	$ **6,273,889**	$ **5,986,732**
Liabilities and shareholders' equity		
Current liabilities:		
Accounts payable	$ 468,385	$ 436,554
Accrued expenses and other liabilities	442,967	351,762
Current maturities of long-term debt	94,887	76,000
Total current liabilities	1,006,239	864,316
Long-term debt	630,596	725,483
Other liabilities	376,721	376,721
Total liabilities	2,013,556	1,966,520
Shareholders' equity:		
Common stock and paid-in capital	2,029,632	1,897,295
Retained earnings	2,230,701	2,122,917
Total equity	4,260,333	4,020,212
Total liabilities and shareholders' equity	$ **6,273,889**	$ **5,986,732**

Kestrel Point Industrial Corp.
Consolidated Statements of Cash Flows

(Amounts in U.S. dollars)

	Twelve Months Ended Dec. 31,	
	2024	**2023**
Cash flows from operating activities:		
Net income	$ 305,342	$ 581,692
Adjustments to reconcile net income to net cash provided by operating activities:		
Depreciation and amortization expense	373,835	341,302
Stock-based compensation	132,337	163,779
Changes in operating assets and liabilities:		
Accounts receivable	(11,490)	91,357
Prepaid expenses and other current assets	(32,974)	30,964
Accounts payable	31,831	(10,842)
Accrued liabilities	91,205	(72,995)
Net cash provided by operating activities	890,086	1,125,257
Cash flows from investing activities:		
Additions to property and equipment	(230,124)	(427,181)
Other	(37,251)	(10,066)
Net cash used in investing activities	(267,375)	(437,247)
Cash flows from financing activities:		
Repayment of debt	(76,000)	(48,347)
Dividends paid	(125,690)	(239,445)
Repurchases of common stock	(71,868)	(84,636)
Net cash used in financing activities	(273,558)	(372,428)
Net increase in cash and cash equivalents	349,153	315,582
Cash and cash equivalents at beginning of year	1,440,641	1,125,059
Cash and cash equivalents at end of year	$ **1,789,794**	$ **1,440,641**